

TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING

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⚠ Suggested revisions are not legal advice. They are suggested replacement language for review by a qualified professional. Consult an attorney before using any suggested language.

Revision Summary

This revision packet identifies 3 area(s) of "TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING" warranting negotiation or revision, including 2 high-priority item(s). All suggested language is for review by a qualified professional only and does not constitute legal advice.

Priority Changes

1. Address: Unilateral Modification Rights — Request a mutual written amendment requirement.
2. Address: Limited Liability Cap — Negotiate a higher cap and carve-outs for willful misconduct.
3. Add missing clauses: Force majeure clause (not clearly present), Data processing agreement / GDPR addendum, SLA / uptime guarantees

Clause Revisions

High Liability Limitation

Issue: Liability cap may be significantly below potential damages

Original Language

"IN NO EVENT SHALL COMPANY BE LIABLE TO CONTRACTOR FOR ANY INDIRECT, INCIDENTAL, SPECIAL, OR CONSEQUENTIAL DAMAGES ARISING OUT OF OR RELATED TO THIS AGREEMENT"

Suggested Replacement Language (For Professional Review)

[SUGGESTED FOR PROFESSIONAL REVIEW] Consider negotiating a higher cap, or carve-outs for willful misconduct, gross negligence, and data breach scenarios.

Why it matters: Low liability caps leave you with no meaningful recourse for serious failures.

Medium Auto-Renewal

Issue: Auto-renewal with potentially short cancellation window

Original Language

"See document for renewal language."

Suggested Replacement Language (For Professional Review)

[SUGGESTED FOR PROFESSIONAL REVIEW] Negotiate a shorter notice window (e.g., 30 days) and require affirmative renewal consent.

Why it matters: Missing the cancellation window locks you into another full-term commitment.

Negotiation Notes

- Start with the highest-severity items first
- Document all verbal agreements in writing before signing
- Request a redline of any counter-proposals
- Consider requesting a 30-day review period before signing
- Get all changes confirmed in a written amendment or restated agreement

Questions for Your Lawyer

1. Is the liability cap sufficient for our potential exposure?
2. Are the indemnification obligations reasonable and balanced?
3. What is the practical impact of the governing law choice?
4. What are our rights and remedies if the other party materially breaches?
5. How does the liquidation preference affect our payout in various exit scenarios?
6. What triggers the anti-dilution provisions, and what are the mechanics?

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